

Industry upcycle meets operational improvement

Well positioned to benefit from domestic upcycle, overseas expansion and mining machinery momentum

Initiate at Buy with a TP of CNY13.60, implying 39.5% upside

Considering China's construction machinery upcycle, the company's continued overseas expansion and the accelerating growth in its mining machinery business, we forecast the company's revenue and net profit to grow at CAGRs of 13.5% and 28.7% over 2026-28F, respectively. We value the company at 18x 2026F P/E, broadly in line with the peer average. Based on our 2026F EPS of CNY0.76, we derive a TP of CNY13.60. The stock has declined 5.3% over the past month as of 29 May, underperforming the CSI 300 by 7.0pp. We believe this reflects market preference for technology-related themes rather than weakening fundamentals. The stock currently trades around 13x 2026F P/E, below the peer average. However, with industry beta improving and XCMG's company-specific alpha becoming more visible, we believe XCMG offers long-term investment value, making the current price level attractive. **Key catalysts** include continued y-y improvement in domestic monthly industry data and stronger mining machinery demand supported by higher commodity prices and mining capex. **Key downside risks** include changes in the competitive landscape, weaker-than-expected R&D capabilities, slower mining machinery expansion, softer downstream demand, geopolitical and overseas operating risks, raw material price volatility and FX volatility risk.

Industry beta: Domestic recovery and overseas expansion to drive earnings visibility

We believe China's construction machinery industry is transitioning from an export-led phase to a more balanced growth phase supported by domestic cyclical recovery and continued overseas expansion. In China, policy support, equipment replacement demand and electrification/green transition trends should drive a new upcycle, while overseas expansion still offers a growth runway for Chinese players. According to Frost & Sullivan (via Sany Heavy Industry's post-hearing information pack), overseas markets account for over 80% of global construction machinery sales. Yet, top Chinese OEMs held only a c.12% overseas share in 2024, by our estimates, suggesting significant room for penetration. Against this backdrop, we expect XCMG to benefit from both domestic recovery and global share gains. Based on our industry growth and market share assumptions, we forecast 2026-28F revenue CAGRs of 17.8%/8.0%/12.0% for XCMG's earthmoving/hoisting/concrete machinery businesses.

Company alpha: Mining machinery and SOE reform to unlock growth potential

According to XCMG's investor relations activity record, the company targets mining machinery revenue of more than CNY40bn by 2030. We view mining machinery as one of XCMG's most differentiated businesses and a potential second growth engine, poised to lift overall gross margin. Furthermore, we see SOE reform as an important driver of better operating quality. XCMG has followed a reform path of "mixed-ownership reform and strategic capital introduction, group-level listing and equity incentives", which closely aligns management and shareholder interests. We believe the company's targets on ROE and operating cash flow will encourage a higher revenue contribution from overseas markets and high-end products, and accelerate the exit of underperforming assets. Over time, this should support both earnings quality and valuation re-rating, in our view.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	100,823		115,734		131,569		147,567
Reported net profit (mn)	6,572		8,849		11,401		13,998
Normalised net profit (mn)	6,550		8,816		11,401		13,998
FD normalised EPS	0.56		0.75		0.97		1.20
FD norm. EPS growth (%)	13.7		34.6		29.3		22.8
FD normalised P/E (x)	17.4		13.0		10.0	-	8.2
EV/EBITDA (x)	12.3		7.7		6.2	-	6.4
Price/book (x)	2.3		1.7		1.6	-	1.4
Dividend yield (%)	2.0		2.8		3.5	-	4.4
ROE (%)	10.9		13.4		15.5		17.0
Net debt/equity (%)	16.3		11.1		net cash		net cash

Source: Wind, company data, Nomura estimates

Rating Starts at **Buy**

Target price Starts at **CNY 13.60**

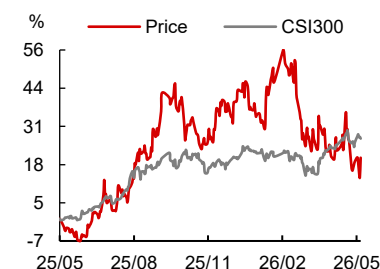
Closing price 29 May 2026 **CNY 9.75**

Implied upside **+39.5%**

Market Cap (USD mn) 16,732.8

ADT (USD mn) 182.3

Relative performance chart



Source: Gildata

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Key data on XCMG

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-5.3	-20.5	17.9	M cap (USDmn)	16,732.8
Absolute (USD)	-4.8	-19.3	24.2	Free float (%)	60.7
Rel to CSI 300	-7.0	-24.3	-8.9	3-mth ADT (USDmn)	182.3

Source: Gildata

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	93,037	100,823	115,734	131,569	147,567
Cost of goods sold	-72,039	-78,029	-88,375	-99,230	-110,374
Gross profit	20,998	22,794	27,359	32,339	37,193
SG&A	-12,437	-13,607	-15,406	-17,493	-19,546
Employee share expense					
Operating profit	6,626	7,319	9,622	12,409	15,236
EBITDA	12,779	12,735	16,725	19,706	18,464
Depreciation	-4,112	-4,456	-4,472	-4,534	-746
Amortisation					
EBIT	8,667	8,279	12,253	15,172	17,718
Net interest expense	-1,954	-716	-2,621	-2,763	-2,481
Associates & JCEs	0	0	0	0	0
Other income	71	-1,213	300	326	71
Earnings before tax	6,678	7,258	9,632	12,409	15,237
Income tax	-597	-572	-760	-979	-1,202
Net profit after tax	6,082	6,686	8,872	11,431	14,035
Minority interests	-50	-114	-24	-30	-37
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	5,762	6,550	8,816	11,401	13,998
Extraordinary items	270	22	33	0	0
Reported NPAT	6,032	6,572	8,849	11,401	13,998
Dividends	-2,057	-2,336	-3,145	-4,052	-4,975
Transfer to reserves	3,975	4,237	5,704	7,349	9,023

Valuations and ratios

Reported P/E (x)	15.5	20.7	12.9	10.0	8.2
Normalised P/E (x)	16.3	20.8	13.0	10.0	8.2
FD normalised P/E (x)	19.8	17.4	13.0	10.0	8.2
Dividend yield (%)	1.8	2.0	2.8	3.5	4.4
Price/cashflow (x)	20.1	8.1	10.1	8.2	10.1
Price/book (x)	1.6	2.3	1.7	1.6	1.4
EV/EBITDA (x)	9.2	12.3	7.7	6.2	6.4
EV/EBIT (x)	15.9	16.3	10.5	8.0	6.6
Gross margin (%)	22.6	22.6	23.6	24.6	25.2
EBITDA margin (%)	13.7	12.6	14.5	15.0	12.5
EBIT margin (%)	9.3	8.2	10.6	11.5	12.0
Net margin (%)	6.5	6.5	7.6	8.7	9.5
Effective tax rate (%)	8.9	7.9	7.9	7.9	7.9
Dividend payout (%)	34.1	35.5	35.5	35.5	35.5
ROE (%)	10.1	10.9	13.4	15.5	17.0
ROA (pretax %)	5.3	4.9	6.9	8.0	8.6

Growth (%)

Revenue	0.2	8.4	14.8	13.7	12.2
EBITDA	25.0	-0.3	31.3	17.8	-6.3
Normalised EPS	28.1	14.3	35.1	29.3	22.8
Normalised FDEPS	28.1	13.7	34.6	29.3	22.8

Source: Wind, company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	12,779	12,735	16,725	19,706	18,464
Change in working capital	-5,745	972	-3,371	-3,431	-4,952
Other operating cashflow	-1,341	435	-2,037	-2,261	-2,162
Cashflow from operations	5,693	14,142	11,317	14,014	11,350
Capital expenditure	-2,658	-3,791	-1,203	-695	-671
Free cashflow	3,035	10,352	10,114	13,319	10,679
Reduction in investments	169	-142	-40	-40	-40
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	558	371	74	-362	-347
CF after investing acts	3,762	10,581	10,148	12,917	10,292
Cash dividends	-2,057	-2,336	-3,145	-4,052	-4,975
Equity issue	85	9	-42	0	0
Debt issue	869	-510	-3,157	0	50
Convertible debt issue					
Others	-5,515	-5,795	-1,175	-1,159	-1,160
CF from financial acts	-6,618	-8,632	-7,518	-5,211	-6,085
Net cashflow	-2,957	1,819	2,629	7,707	4,207
Beginning cash	18,421	15,464	17,283	19,912	27,619
Ending cash	15,464	17,283	19,912	27,619	31,825
Ending net debt	11,197	10,119	7,490	-217	-4,374

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	15,464	17,283	19,912	27,619	31,825
Marketable securities	4,939	4,935	4,975	5,015	5,054
Accounts receivable	44,169	43,514	49,306	55,321	61,228
Inventories	32,883	39,150	43,113	47,031	52,312
Other current assets	13,009	13,757	14,285	15,383	16,493
Total current assets	110,464	118,638	131,591	150,368	166,913
LT investments	6,966	7,306	7,306	7,306	7,306
Fixed assets	26,515	25,840	22,619	19,338	19,817
Goodwill	0	0	0	0	0
Other intangible assets	8,642	9,945	9,534	9,122	8,711
Other LT assets	10,880	10,349	10,857	10,751	10,596
Total assets	163,467	172,079	181,907	196,886	213,343
Short-term debt	14,027	22,274	22,274	22,274	22,274
Accounts payable	42,348	50,164	55,588	61,037	66,359
Other current liabilities	25,507	26,717	25,504	27,654	29,680
Total current liabilities	81,881	99,154	103,366	110,965	118,312
Long-term debt	12,635	5,128	5,128	5,128	5,178
Convertible debt					
Other LT liabilities	8,085	5,865	5,836	5,836	5,836
Total liabilities	102,601	110,147	114,329	121,929	129,326
Minority interest	1,345	1,471	1,494	1,524	1,562
Preferred stock					
Common stock	11,816	11,753	11,711	11,711	11,711
Retained earnings	32,277	36,772	42,476	49,825	58,848
Proposed dividends					
Other equity and reserves	15,429	11,936	11,896	11,896	11,896
Total shareholders' equity	60,867	61,931	67,578	74,957	84,018
Total equity & liabilities	163,467	172,079	181,907	196,886	213,343

Liquidity (x)

Current ratio	1.35	1.20	1.27	1.36	1.41
Interest cover	4.4	11.6	4.7	5.5	7.1

Leverage

Net debt/EBITDA (x)	0.88	0.79	0.45	net cash	net cash
Net debt/equity (%)	18.4	16.3	11.1	net cash	net cash

Per share

Reported EPS (CNY)	0.51	0.57	0.76	0.97	1.20
Norm EPS (CNY)	0.49	0.56	0.75	0.97	1.20
FD norm EPS (CNY)	0.49	0.56	0.75	0.97	1.20
BVPS (CNY)	5.04	5.14	5.64	6.27	7.04
DPS (CNY)	0.18	0.20	0.27	0.35	0.42

Activity (days)

Days receivable	169.9	156.5	144.4	143.1	142.2
Days inventory	163.1	166.2	167.6	163.5	162.0
Days payable	210.4	213.4	215.4	211.6	207.8
Cash cycle	122.6	109.3	96.5	95.1	96.4

Source: Wind, company data, Nomura estimates

Company profile

XCMG is a leading company in China's construction machinery industry. The company has a comprehensive product portfolio covering hoisting machinery, earthmoving machinery, concrete machinery, road machinery, aerial work platforms, mining machinery, agricultural machinery, and other major product categories, enabling it to serve a wide range of construction and engineering scenarios.

Valuation Methodology

Based on an 18x target P/E, broadly in line with the average of comparable companies, and our 2026F EPS of CNY0.76, we derive a target price of CNY13.60. The stock's benchmark index is the CSI 300 Index.

Risks that may impede the achievement of the target price

Key downside risks include changes in the global and regional competitive landscape, weaker-than-expected R&D capabilities, slower-than-expected mining machinery business expansion, lower-than-expected downstream demand in China and overseas markets, a complex global operating environment and geopolitical risks, raw material price volatility, and FX volatility.

ESG

XCMG has continued to advance the development of distributed PV projects. According to the company's 2025 ESG report, by end-2025, its cumulative installed clean energy capacity had reached 189.17MW, with annual power generation totaling 180mn kWh and green electricity accounting for 20.45% of total electricity consumption. During the year, the company added approximately 54MW of distributed PV capacity, which is expected to generate more than 54mn kWh of electricity annually and reduce carbon dioxide emissions by approximately 5,380 tonnes per year.

Investment highlights

Results review

XCMG released its 2025 annual results and 1Q26 results in Apr 2026. In 2025, the company delivered revenue of CNY100,823mn, up 8.37% y-y, and net profit of CNY6,572mn, up 8.96% y-y. Weighted average ROE was 11.0%, up 0.63pp y-y. In 1Q26, XCMG recorded revenue of CNY29,791mn, up 9.26% y-y, and net profit of CNY2,056mn, up 0.86% y-y. 1Q net profit growth lagged revenue growth, mainly because exchange rate volatility drove financial expenses from a net gain of CNY113mn in the same period last year to a net expense of CNY691mn, in our view.

Gearing up: Industry upcycle meets operational improvement

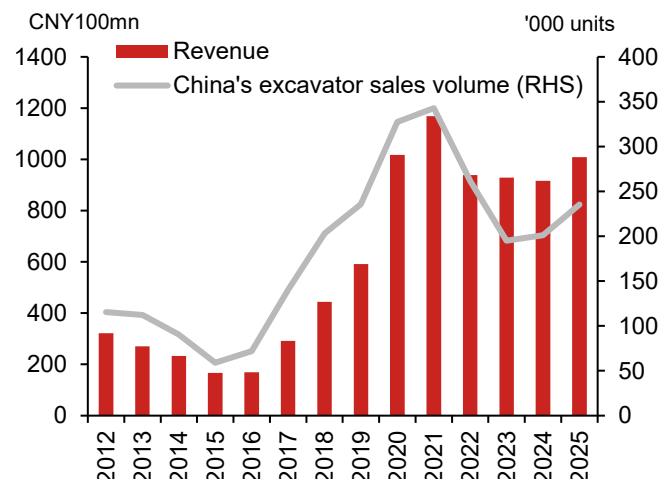
From an industry beta perspective, we believe China's construction machinery industry is transitioning from an export-led phase to a more balanced growth phase supported by domestic cyclical recovery and continued overseas expansion. In China, policy support, equipment replacement demand, and rising electrification penetration are all likely to drive a cyclical recovery, providing more stable demand support for Chinese construction machinery manufacturers. Meanwhile, overseas expansion still offers a growth runway for Chinese players, supported by strong product value-for-money, efficient supply chains, and improving localized operating capabilities, in our view.

Beyond industry beta, we believe XCMG's company-specific alpha is also becoming increasingly visible. On the business front, the company continues to optimize its product and revenue mix. Mining machinery is one of XCMG's most differentiated segments and has the potential to become a second growth driver, given its high technological barriers, robust margins, and strong customer stickiness. According to XCMG's investor relations activity record dated 14 Feb 2026, management targets mining machinery revenue of more than CNY40bn by 2030, underscoring a clear long-term strategic commitment for the business. On governance, after the advancement of SOE reform, XCMG has stepped up efforts to improve asset quality, including the clean-up of accounts receivable and inventories. This has enhanced operating quality and risk resilience, and should help the company convert revenue growth into profit growth more efficiently, in our view. On incentives, the company released its equity incentive plan in Dec 2025, incorporating ROE and operating cash flow into its core performance assessment metrics. We believe this reflects management's focus on high-quality profit growth. Overall, we believe the optimization of XCMG's business structure, improvement in governance mechanisms, and stronger incentive discipline should jointly support its company-specific alpha. The stock offers attractive medium- to long-term allocation value, in our view.

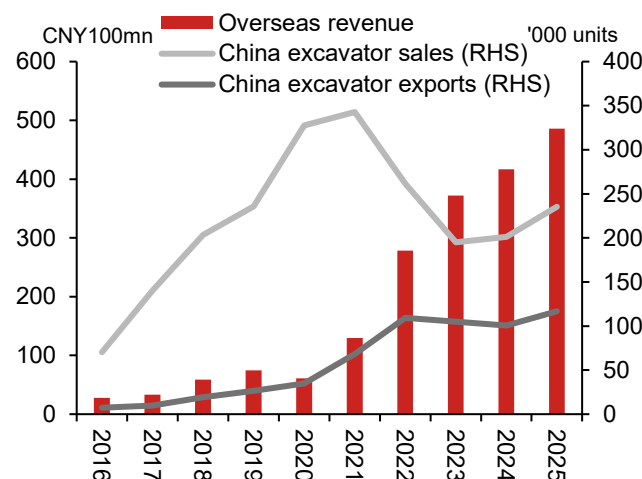
Industry outlook: Domestic cyclical recovery and overseas expansion to drive demand growth

Before 2021, XCMG's revenue trend was highly correlated with China's domestic machinery cycle. However, as the company expanded overseas, its sensitivity to the domestic cycle declined, revenue volatility moderated, and its growth drivers gradually shifted from domestic demand alone to a combination of domestic and overseas demand. Looking back at XCMG's revenue trend and excavator industry sales volume data over 2012-2025, the company's revenue showed clear cyclical patterns during 2012-2021. However, during the industry downturn in 2022-2024, XCMG's revenue remained relatively resilient. We believe this was mainly due to the continued increase in its overseas revenue contribution, which rose from 29.67% in 2022 to 48.20% in 2025.

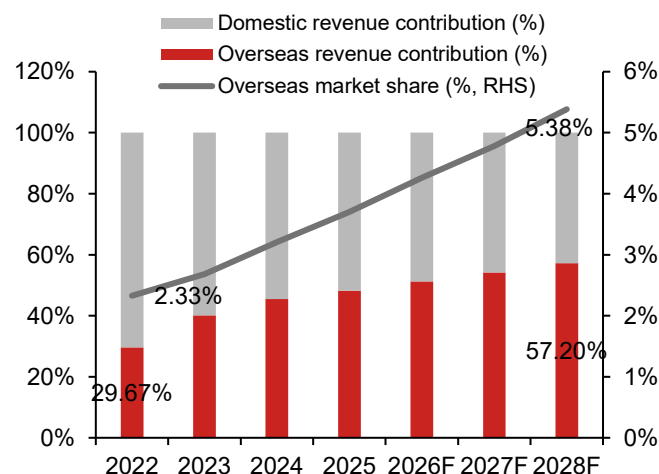
At the current stage, we believe improving industry beta remains the core driver of XCMG's revenue growth. Compared with the previous cycle, however, this round of industry growth should be more balanced: the domestic market is in a cyclical recovery phase, while overseas markets continue to expand. Based on industry data estimated by Frost & Sullivan and cited in Sany Heavy Industry's post-hearing information pack, together with our assessment of XCMG's business mix and industry trends, we estimate the company's domestic and overseas revenue and gross profit contributions for 2026-2027 to analyze how changes in industry demand may affect its revenue growth and profitability.

Fig. 1: XCMG — Revenue trends were closely correlated with the excavator cycle in 2012-21

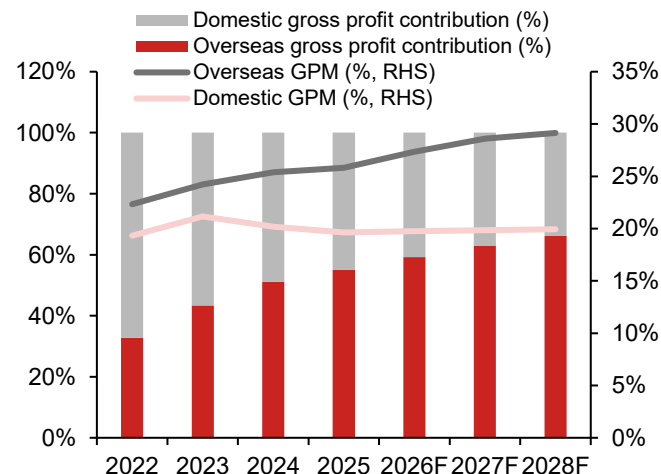
Note: Revenue for 2020 and 2021 is adjusted for the group-level listing.
Source: iFinD; XCMG 2012-25 annual reports; China Construction Machinery Association; Nomura

Fig. 2: XCMG — Overseas revenue growth accelerated in 2022-25

Source: iFinD; XCMG 2016-25 annual reports; China Construction Machinery Association; Nomura

Fig. 3: XCMG — Overseas revenue contribution to continue rising

Source: iFinD; XCMG 2022-25 annual reports; Nomura estimates

Fig. 4: XCMG — Overseas business already contributes over 50% of total gross profit

Source: iFinD; XCMG 2022-25 annual reports; Nomura estimates

We assess XCMG's demand outlook through two lenses: China's cyclical recovery, which should support domestic volume growth, and overseas expansion, which should provide both revenue upside and margin improvement.

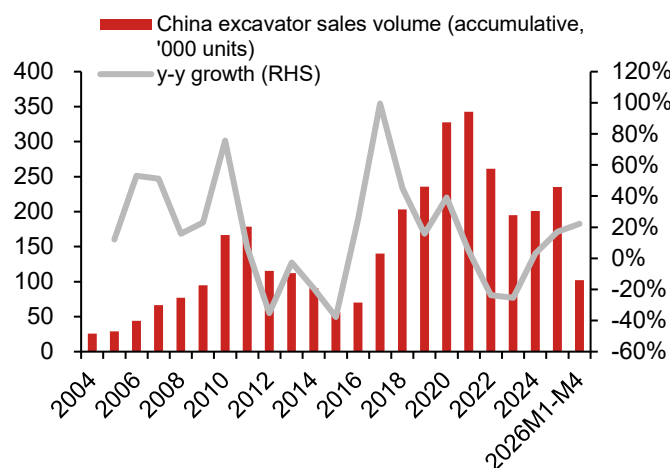
China market: domestic demand recovery marks the start of a new construction machinery upcycle

We believe China's construction machinery industry is in the early stage of a cyclical recovery. Given the cyclical nature of the sector, excavator sales volume remains one of the most widely followed indicators of construction machinery demand. The previous upcycle started in 2016, driven by improving infrastructure investment, equipment replacement demand, deeper implementation of the Belt and Road Initiative, and the upgrade to China III emission standards. China's excavator sales volume reached a peak of 343k units in 2021.

Since May 2021, however, the industry entered a downcycle as downstream investment demand weakened. From an equipment replacement perspective, construction machinery products typically have a replacement cycle of 8-10 years. We therefore believe the industry is now at the starting point of a new upcycle. Since April 2024, monthly excavator sales have returned to positive y-y growth and remained positive for 22 consecutive months through January 2026. Excavator sales volume declined y-y in February 2026 due to the Chinese New Year holiday, but returned to positive y-y growth in March and April.

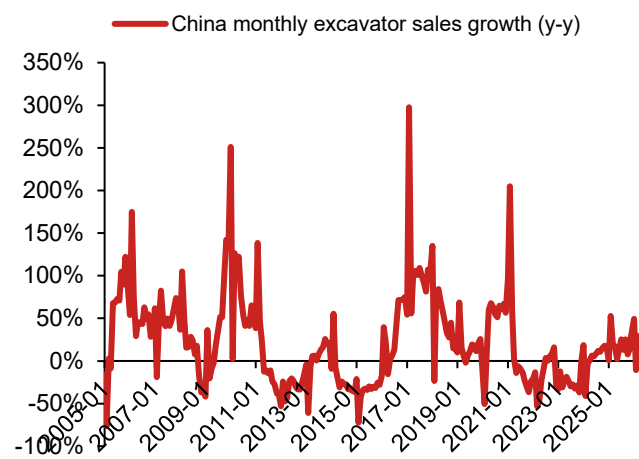
According to the China Construction Machinery Association, total industry excavator sales volume reached 102,100 units in 4M26, up 22.2% y-y. Domestic sales volume rose 15.0% y-y to 56,500 units, while exports increased 32.5% y-y to 45,600 units. In a typical construction cycle, demand for cranes and concrete machinery tends to follow earthmoving equipment with a lag. Given the recovery is already visible in earthmoving machinery, we believe hoisting machinery and concrete machinery are also likely to enter a bottoming-out and recovery phase.

Fig. 5: China's cumulative excavator sales have started to bottom out



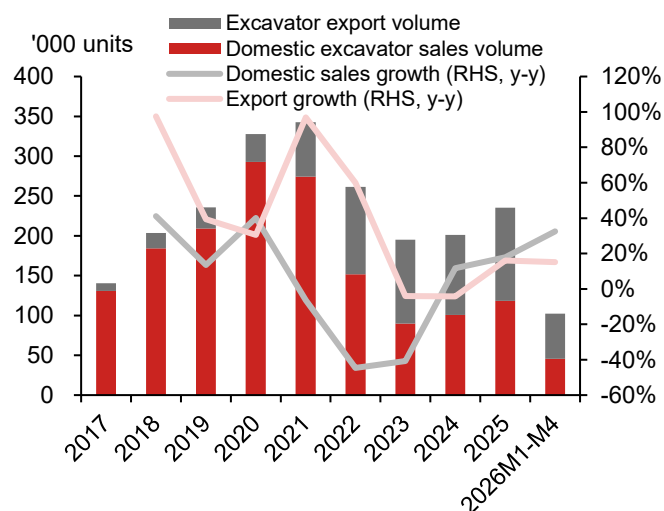
Source: Wind; China Construction Machinery Association; Nomura

Fig. 6: Monthly excavator sales have stayed positive y-y since Apr 2024, except in Feb 2026 due to the CNY holiday



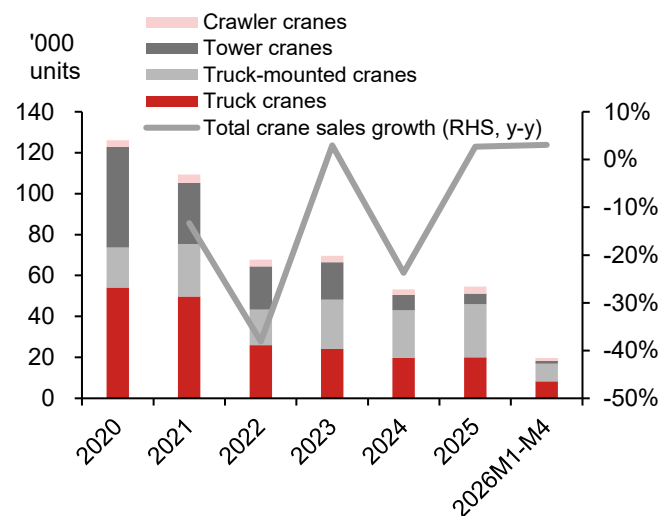
Source: Wind; China Construction Machinery Association; Nomura

Fig. 7: China's excavator industry is seeing a demand recovery



Source: Wind; China Construction Machinery Association; Nomura

Fig. 8: China's construction crane market sales volume bottomed out in 2025

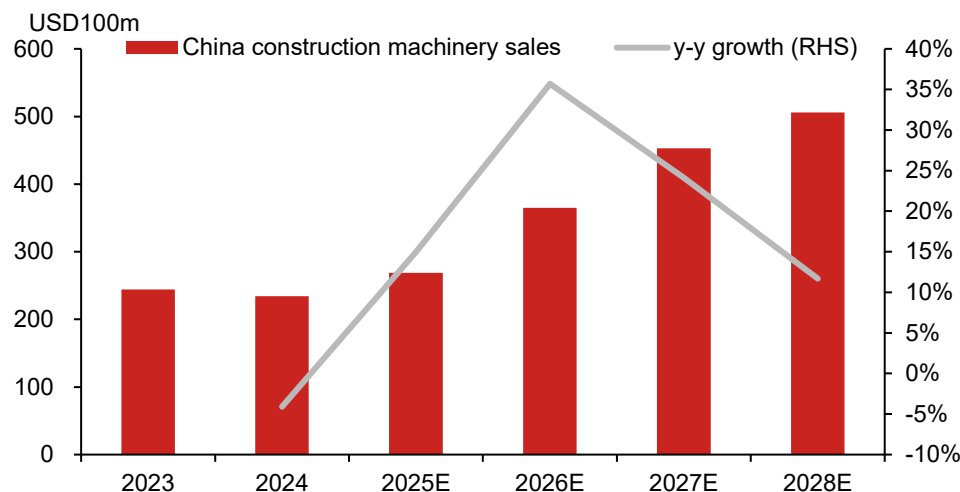


Source: Chyxx; Wind; China Construction Machinery Association; Nomura

Overall, we believe China's construction machinery industry is entering a new upcycle. In our view, policy support and major projects - including urban renewal, hydropower projects in the lower reaches of the Yarlung Zangbo River, the new round of rural road upgrade initiatives, additional special treasury bonds, and ultra-long-term treasury bonds - should provide fresh momentum for an accelerating recovery in construction machinery demand. We also believe electrification, green transition, and equipment replacement demand will help the domestic construction machinery industry move out of its trough and support a recovery in domestic sales.

According to Frost & Sullivan estimates cited in Sany Heavy Industry's post-hearing information pack, China's construction machinery market reached USD26.9bn in sales value in 2025, and is expected to expand to USD36.5bn in 2026 and USD50.6bn in 2028, implying a 2026-28 CAGR of 23.4%, ahead of Asia-Pacific ex-China, Europe, North America, Latin America and Africa over the same period. China's share of global construction machinery sales is also expected to rise from 15.2% in 2025 to 18.1% in 2028.

Fig. 9: China's construction machinery market sales have recovered from the 2024 trough



Source: Frost & Sullivan estimates cited in Sany Heavy Industry's post-hearing information pack; Nomura

In terms of the competitive landscape, we believe domestic demand recovery should mainly benefit leading domestic OEMs. Based on the 2025 domestic revenue of four leading Chinese OEMs - XCMG (000425 CH, Buy), Sany Heavy Industry (600031 CH, Buy), Zoomlion (000157 CH, Not Rated), and LiuGong (000528 CH, Not Rated) - together with Frost & Sullivan's estimates for China's construction machinery market sales value, we estimate that these four leading companies together accounted for c.67% of the domestic market in 2025. Among them, XCMG had one of the largest domestic revenue bases, with an estimated domestic market share of c.28.4%.

By product, we believe the four leading domestic OEMs each have distinct competitive strengths. In earthmoving machinery, Sany Heavy Industry remains the domestic leader. The consolidation of excavator assets has made earthmoving machinery one of XCMG's core segments, and the company has been steadily narrowing the gap with the market leader. In hoisting machinery, XCMG, Zoomlion, and Sany Heavy Industry dominate the domestic market, with XCMG holding a leading position in products such as truck cranes and truck-mounted cranes. In mining machinery, XCMG has further strengthened its competitive advantage in complete and series-based product offerings following the integration of industrial assets such as wide-body dump trucks, enabling it to compete directly with Caterpillar (CAT US) and Komatsu (6301 JP). As the current upcycle is being driven by policy support, replacement demand and electrification / green transition trends, we expect leading domestic OEMs with broader product portfolios and stronger integrated capabilities to be better positioned to deliver excess returns.

Fig. 10: Financial comparison of four leading domestic OEMs

	Revenue (CNY100mn)				Net profit (CNY100mn)				ROE (%)			
	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
XCMG	938.17	928.48	916.60	1,008.23	43.07	53.26	59.76	65.72	8.13	9.86	10.30	11.00
Sany	800.18	732.22	777.73	892.31	42.73	45.28	59.75	84.08	6.65	6.85	8.54	11.18
Zoomlion	416.32	470.75	454.78	521.07	23.06	35.06	35.20	48.58	4.13	6.41	6.24	8.34
LiuGong	264.80	275.19	300.63	331.44	5.99	8.68	13.27	16.09	3.85	5.40	7.93	9.03

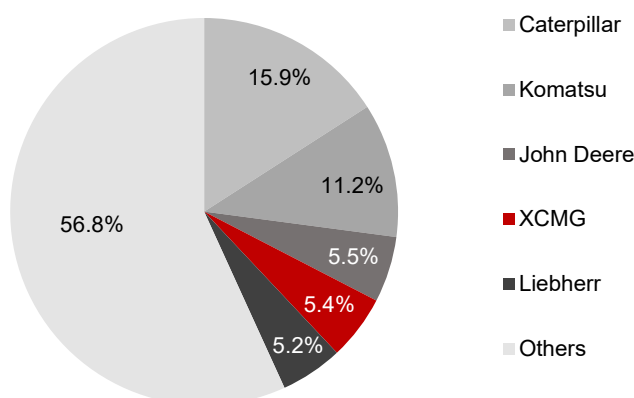
Source: Wind; XCMG, Sany Heavy Industry, Zoomlion and LiuGong 2022-25 annual reports; Nomura

Overseas markets: global share gains to open room for profitability improvement

According to Frost & Sullivan estimates cited in Sany Heavy Industry's post-hearing information pack, overseas markets account for more than 80% of global construction machinery sales. Frost & Sullivan forecasts global construction machinery market sales of USD239.7bn in 2026, rising to USD279.8bn in 2028, implying a CAGR of 8.5%, while China's construction machinery market sales are expected to increase from USD36.5bn to USD50.6bn over the same period. Although China offers greater cyclical upside, overseas markets remain much larger in absolute size, suggesting substantial room for Chinese construction machinery OEMs to expand abroad.

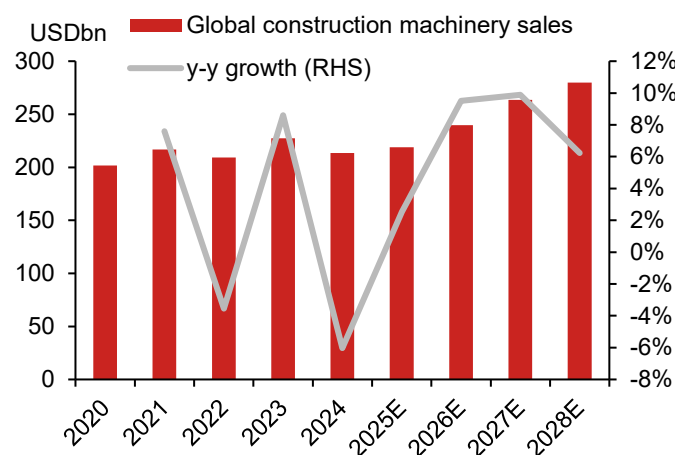
The global construction machinery market is also relatively concentrated. According to rankings published by KHL Group, the global industry's CR5 reached 43.2%, with Caterpillar and Komatsu ranking first and second with market shares of 15.9% and 11.2%, respectively. Chinese companies in the global top 20 include XCMG, Sany Heavy Industry, Zoomlion, and LiuGong, all of which are full-line domestic OEMs. Overall, we believe Chinese companies have already developed strong global competitiveness, but still have room to increase their overall share in overseas markets.

Fig. 11: Global construction machinery competitive landscape in 2024, by sales value



Source: Sina Finance citing International Construction; Nomura

According to KHL's rankings, the world's top 50 construction machinery manufacturers generated total sales of USD237.6bn in 2024, of which leading Chinese companies contributed USD43.8bn. Based on this, we estimate that leading Chinese construction machinery companies had a combined overseas market share of around 12% in 2024, excluding the China market. The drivers of overseas expansion for Chinese construction machinery OEMs have evolved in recent years. As domestic growth has slowed and policy initiatives such as the Belt and Road Initiative and dual circulation have encouraged greater internationalization, overseas expansion has become a strategic priority for many Chinese industrial companies. For Chinese construction machinery companies, international expansion has evolved from a model that relied mainly on price advantages to one built on a broader set of competitive strengths, including supply chain efficiency, localized services, and electrification and intelligent equipment technologies. Since 2020, leading companies in the industry have generally seen a rapid increase in the revenue contribution from overseas business. Based on the current domestic and overseas gross margin profiles of OEMs, overseas business also generally carries higher gross margins than domestic business. We are positive on overseas markets becoming a core source of profitability for leading Chinese construction machinery companies.

Fig. 12: Global construction machinery sales are expected to grow steadily in 2026-28E

Source: Frost & Sullivan estimates cited in Sany Heavy Industry's post-hearing information pack; Nomura

Fig. 13: Chinese construction machinery OEMs still have room to gain share overseas

	USDbn/%
Total sales of the global top 50 construction machinery manufacturers in 2024	237.6
Of which:	
Chinese companies	43.8
Non-Chinese companies	193.8
2024 overseas revenue of SW construction machinery companies	24.4
Non-China market sales mix	91%
Non-China market sales in 2024	176.4
Overseas market share of Chinese construction machinery companies in 2024	12.2%

Source: Sina Finance, citing International Construction; Wind; Nomura

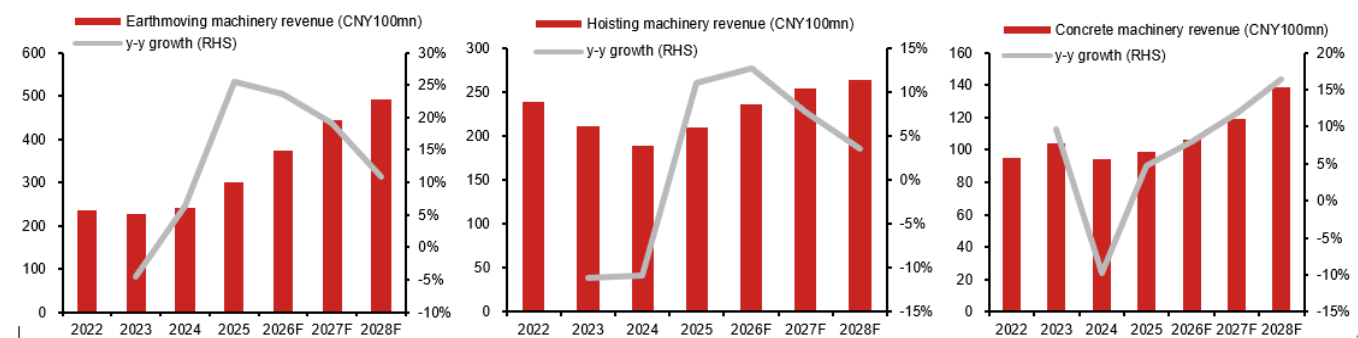
Fig. 14: Overseas gross margins are generally higher than domestic gross margins for Chinese construction machinery companies

	2022		2023		2024		2025	
	Domestic	Overseas	Domestic	Overseas	Domestic	Overseas	Domestic	Overseas
XCMG	19.32%	22.33%	21.16%	24.21%	20.19%	25.38%	19.64%	25.80%
Sany	21.92%	26.36%	23.04%	30.78%	21.12%	29.72%	20.69%	31.64%
Zoomlion	21.77%	22.02%	24.66%	32.23%	24.06%	32.05%	24.17%	30.78%
LiuGong	13.45%	24.38%	15.88%	27.74%	17.38%	28.57%	15.75%	29.73%

Source: iFinD; Nomura

For XCMG, we believe overseas expansion has become an increasingly important driver for both revenue growth and profitability improvement. On revenue, considering the company's continued overseas expansion and the upturn in China's domestic industry cycle, we conservatively assume that XCMG's overseas revenue contribution will increase by around 3pp per year over 2026-28F. Based on this assumption, we estimate that the company's overseas market share will rise from 2.3% in 2022 to 5.4% in 2028F. On profitability, XCMG's overseas gross margin has been significantly higher than its domestic gross margin over the long term. We assume its domestic gross margin will increase by 0.1pp per year over 2026-28F as the industry cycle improves. Based on the company's overall gross margin and domestic gross margin assumptions, we estimate that its overseas gross margin will continue to improve steadily to 27.36%/28.58%/29.14% in 2026/27/28F. As the revenue contribution from higher-margin overseas businesses continues to increase, we expect XCMG's profitability baseline to move higher steadily.

With domestic demand recovering and overseas markets continuing to expand, we expect the two demand drivers to reinforce each other and improve visibility on XCMG's earnings growth. Based on Frost & Sullivan's industry sales forecasts cited in Sany Heavy Industry's post-hearing information pack, together with our assumptions for XCMG's global market share across different business lines, we estimate revenue CAGRs of 17.8% and 8.0% for the company's earthmoving machinery and hoisting machinery businesses, respectively, over 2026-28F. To better illustrate the future growth drivers of each business line, we also forecast the concrete machinery business based on industry sales forecasts and global market share assumptions. We estimate XCMG's concrete machinery revenue at CNY9,846mn in 2025, and forecast a revenue CAGR of 12.0% for the segment over 2026-28F.

Fig. 15: XCMG — Core businesses to grow steadily through the industry upcycle in 2026-28F

Source: iFinD; XCMG 2022-25 annual reports; Nomura estimates

Mining machinery business: Building a second growth curve

In addition to its traditional construction machinery businesses, we believe mining machinery is likely to become an important medium- to long-term growth driver for XCMG.

Mining machinery demand entering a steady expansion phase, supported by energy-transition capex and equipment replacement

We believe mining machinery demand is on a steady uptrend, underpinned by several drivers. First, the energy transition is driving higher capex for key minerals such as copper, lithium and nickel, while global commodity and industrial metal prices remain relatively elevated. At the same time, overseas mining majors and resource-rich Belt and Road countries are showing stronger willingness to expand production, supporting incremental demand for mining equipment. Second, in China, mine consolidation toward larger-scale operations and stricter green mine policies, combined with the replacement cycle for existing equipment, are driving demand for electrified, large-scale and intelligent mining machinery. We believe the combination of overseas and domestic demand should support a continued upcycle in the mining machinery industry. According to Frost & Sullivan forecasts cited in Lingong Heavy Machinery's H-share prospectus, the global mining equipment market is expected to grow from CNY736.7bn in 2024 to CNY1,025.6bn in 2030, implying a CAGR of 5.7%; and China's mining equipment market is expected to expand from CNY123.0bn in 2024 to CNY177.1bn in 2030, implying a CAGR of 6.3%.

Fig. 16: China and global mining equipment markets are expanding steadily

Source: Frost & Sullivan estimates cited in Lingong Heavy Machinery's Application Proof; Nomura

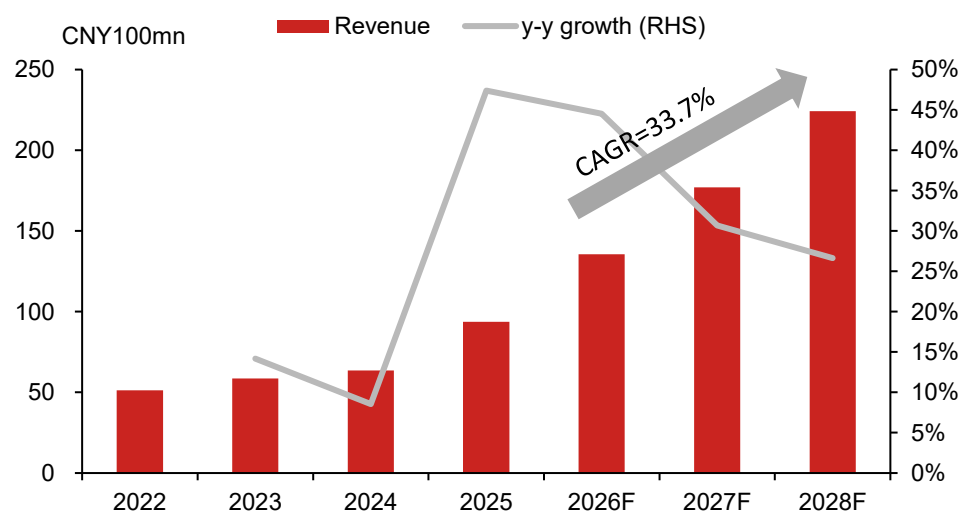
The commercial logic of mining machinery differs from that of general construction machinery, in our view. On the one hand, mining customers place greater emphasis on full-life-cycle aftermarket services, including spare parts, maintenance, and overhaul services. These businesses typically generate stronger customer stickiness and greater counter-cyclicality. For large mines, where equipment often runs around the clock, reliability and availability matter more than upfront price alone. In addition, mining equipment often requires customized services based on factors such as mine altitude and ore characteristics. Caterpillar and Komatsu have long dominated global mining machinery, particularly in the high-end segments, supported by early-mover advantages, proven technology and long operating track records with major mining customers.

Wide-body dump truck asset injection completes XCMG's mining machinery portfolio; integrated solution capability to drive share gains

Among domestic OEMs, XCMG has strong advantages in providing complete mining machinery solutions. On 31 May 2025, XCMG acquired a 51% stake in the group's heavy vehicle company, integrating businesses such as wide-body dump trucks and further strengthening the company's competitive advantage in complete and series-based mining machinery product offerings. In our view, the injection of the wide-body dump truck business should create synergies with XCMG's existing two-axle mining trucks, mining excavators, electric shovels and articulated dump trucks, enhancing its integrated "digging-loading-hauling" solution capability for open-pit mines.

Based on our assumptions for industry expansion and XCMG's market share gains, we forecast a 33.7% revenue CAGR for the company's mining machinery business over 2026-28F. According to the company's announcement on investor communication dated 4 February 2026, XCMG targets mining machinery revenue of more than CNY40bn by 2030, covering surface and underground mining equipment, spare parts, and related businesses. This compares with CNY9,377mn of mining machinery revenue in 2025, reflecting management's positive long-term outlook for the business. We believe the overall mining machinery segment has strong growth potential over the next few years. Conservatively, we assume XCMG's global market share in mining machinery will increase by 0.45pp/0.40pp/0.30pp in 2026-28F. Based on Frost & Sullivan's global mining equipment market size estimates discussed above, we forecast XCMG's mining machinery revenue at CNY13,553mn/CNY17,711mn/CNY22,428mn in 2026/27/28F.

Fig. 17: XCMG — We forecast a 33.7% revenue CAGR for mining machinery in 2026-28F



Source: Wind; XCMG 2022-25 annual reports; Nomura estimates

Ramp-up of high-margin mining machinery business to support overall profitability improvement

Mining machinery typically commands higher margins than most other product lines, given the need for customized solutions, exposure to leading global mining customers and a higher mix of electrified products. In 2025, mining machinery accounted for only 9.30% of XCMG's revenue. If the segment continues to scale up, we believe it should help lift the company's overall gross margin.

SOE reform strengthens risk control and growth quality

We view SOE reform as a key driver of XCMG's improving operating quality in recent years. The company's reform path has followed a three-step strategy: mixed-ownership reform and strategic capital introduction, group-level listing, and equity incentives. XCMG launched mixed-ownership reform and strategic capital introduction in 2018, and completed its group-level listing in 2022. The listing brought a large number of high-quality assets into the listed company, including excavators, tower cranes, concrete machinery, and mining machinery. This filled product gaps in the listed company's portfolio and opened up new growth opportunities. During the industry downturn in 2022-25, XCMG still achieved steady net profit growth, supported by multi-segment synergies and overseas market expansion.

Following the reform, the company also strengthened its risk control awareness. In terms of bad debt risk, customer borrowings for which the company carried mortgage guarantee obligations stood at CNY10.099bn in 2022, while outstanding repurchase obligations under finance leases stood at CNY67.275bn. By 2025, these balances had declined to CNY9,706mn and CNY30,194mn, respectively, indicating a narrowing of the company's risk exposure. At the same time, XCMG's asset-liability ratio declined from 68.78% in 2022 to 64.01% in 2025, showing a steady improvement in its financial structure.

Equity incentives further align management with shareholders. In December 2025, XCMG announced an equity incentive plan, with a scale that set a new high for the A-share machinery sector. The plan uses three core assessment metrics: net profit, ROE, and operating cash flow. We believe this assessment framework emphasizes not only growth, but also the quality of growth. It should help drive XCMG's further transition from scale expansion to high-quality development.

Fig. 18: XCMG — Equity incentive plan performance targets

Year	ROE	Net profit floor (CNY100mn)	Cumulative net profit target (CNY100mn)	Net operating cash flow (CNY100mn)
2025	≥ 10%	65	-	≥ 55
2026	≥ 11%	75	140 (2025-2026)	≥ 65
2027	≥ 12%	100	240 (2025-2027)	≥ 90
2028	≥ 14%	120	260 (2025-2028)	≥ 120

Source: XCMG 2025 Share Option and Restricted Share Incentive Plan (draft); Nomura

Based on the assessment targets, if XCMG's net profit reaches the lower threshold of CNY12.0bn under the incentive plan in 2028, this would represent growth of more than 80% from CNY6,572mn in 2025, implying a net profit CAGR of 22.23% over 2026-28.

On ROE, the construction machinery sector is a typical heavy-asset industry, and industry-wide ROE tends to remain at relatively low levels during downcycles. XCMG's ROE was 11.00% in 2025, which was relatively high among domestic construction machinery OEMs. Under the assessment requirements of the company's equity incentive plan, further ROE improvement will depend on simultaneous improvement in net profit margin and total asset turnover. Looking ahead, we expect XCMG to accelerate the increase in revenue contribution from overseas markets and high-end products, while continuing to dispose of underperforming assets.

On cash flow, the assessment targets imply that XCMG's operating cash flow should broadly match net profit by 2028, reflecting the company's emphasis on operating risk control and asset quality optimization. XCMG's net operating cash flow rose 148.42% y-y in 2025, marking an early but meaningful improvement in cash generation.

Fig. 19: XCMG — ROE remains ahead of most domestic machinery peers

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
XCMG	1.01%	4.70%	8.28%	12.56%	11.73%	16.24%	8.13%	9.86%	10.30%	11.00%
Sany	0.89%	8.69%	21.45%	28.71%	29.64%	19.95%	6.65%	6.85%	8.54%	11.18%
Zoomlion	-2.44%	3.57%	5.33%	10.82%	16.70%	11.56%	4.13%	6.41%	6.24%	8.34%
LiuGong	0.56%	3.60%	8.46%	10.23%	12.07%	6.64%	3.85%	5.40%	7.93%	9.03%

Source: iFinD; Nomura

Financial analysis and forecasts

Given XCMG's continued overseas expansion, steady earnings growth in recent years, and strong market positions across key product categories, we believe the company is well positioned to benefit from the current upcycle in China's construction machinery industry. We forecast total revenue of CNY115,734mn/CNY131,569mn/CNY147,567mn in 2026/27/28F, reflecting domestic recovery, overseas expansion and potential overseas demand disruption from geopolitical volatility in the Middle East. We expect gross margin to improve gradually on product mix optimization and tighter cost control, partly offset by higher financial expenses from potential FX losses related to overseas operations. We forecast net profit of CNY8,849mn/CNY11,401mn/CNY13,998mn in 2026/27/28F, respectively. Our key assumptions are as follows:

- 1) **Earthmoving machinery:** We are constructive on XCMG's earthmoving machinery business. Domestic excavator and loader demand is recovering, overseas demand remains resilient, and XCMG continues to benefit from a competitive product offering and expanding global footprint. We forecast a 17.8% revenue CAGR for the segment over 2026-28F. The segment's gross margin increased slightly by 0.03pp in 2025. Considering XCMG's improving supply chain capabilities and product mix optimization during the industry upcycle, we expect the segment's gross margin to increase by 0.3pp/0.2pp/0.2pp in 2026/27/28F.
- 2) **Hoisting machinery:** Hoisting machinery has broad downstream applications, and XCMG continues to strengthen its position in the segment. We forecast a revenue CAGR of 8.0% over 2026-28F. The segment's gross margin improved by 0.2pp in 2025. We expect the segment's gross margin to increase modestly by 0.3pp per year over 2026-28F, driven by continued overseas expansion, an industry recovery-led rebound in small- and mid-sized cranes, further electrification and smart upgrades, and disciplined cost control.
- 3) **Concrete machinery:** XCMG has been deeply engaged in the concrete machinery industry for years, with continuously improving core competitiveness. The company no longer disclosed concrete machinery as a separate segment in its 2025 annual report. However, to better reflect the segment's future growth momentum, we estimate its 2025 revenue at CNY9,846mn based on industry market size and global market share assumptions. For gross margin, given that the global concrete machinery market was still contracting in 2025 and market competition remained intense, we assume a slight decline of 1pp in 2025. Looking ahead, as XCMG continues to expand globally and domestic demand recovers, we forecast a revenue CAGR of 12.0% for the concrete machinery business over 2026-28F. In terms of profitability, supported by product premiumization and strict cost control, we assume the segment's gross margin will increase by 0.8pp/1.0pp/1.0pp in 2026/27/28F.
- 4) **Construction machinery spare parts and other construction machinery:** The reporting scope of this business changed in XCMG's 2025 annual report. In our model, we separate out concrete machinery, and estimate the adjusted 2025 revenue of this business at CNY14.397bn. We believe construction machinery spare parts and other machinery products should grow steadily alongside the industry upcycle. We forecast revenue y-y growth of 8%/10%/15% in 2026/27/28F. Supported by product premiumization and cost control, we expect the segment's gross margin to improve by 1pp annually over the same period.
- 5) **Other construction machinery equipment:** This business mainly includes aerial work platforms, mining machinery, road machinery, and piling machinery, all of which are emerging businesses that XCMG is actively developing. Demand in the mining machinery industry is on a steady uptrend. XCMG has clear advantages in integrated, intelligent mining machinery solutions, supported by its years of overseas market development. We forecast a revenue CAGR of 33.7% for the company's mining machinery business over 2026-28F.
- 6) **Expenses:** Given the recovery in China's industry cycle and healthy overseas demand, we expect XCMG's operating expense ratio - defined as selling, administrative, and R&D expenses as a percentage of revenue - to decline slightly year-by-year as scale benefits are released and internal digitalization supports cost reduction and operational efficiency improvement. We forecast operating expense ratios of 12.85%/12.80%/12.75% in 2026/27/28F.

- 7) **Capex and cash flow:** XCMG has a relatively small construction-in-progress balance. According to its 2025 annual report, the company has established a four-pronged globalization model covering export trade, overseas greenfield manufacturing projects, cross-border M&A, and global R&D. We therefore do not expect the company to undertake large-scale capex in 2026-28F. XCMG has delivered strong operating cash flow in recent years. Operating cash flow has been solid in recent years and is also a key metric in the company's equity incentive assessment. We expect operating cash flow to remain strong in 2026-28F.

Fig. 20: XCMG — Key financial forecasts

CNYmn		2025	2026F	2027F	2028F	2026-28F CAGR
Total revenue		100,823	115,734	131,569	147,567	13.5%
	y-y (%)	10%	15%	14%	12%	
Earthmoving machinery		30,131	37,262	44,398	49,210	17.8%
	y-y (%)	25%	24%	19%	11%	
Hoisting machinery		20,983	23,664	25,483	26,410	8.0%
	y-y (%)	11%	13%	8%	4%	
Concrete machinery*		9,846	10,636	11,890	13,839	12.0%
	y-y (%)	5%	8%	12%	16%	
Construction machinery spare parts and others*		14,387	15,538	17,092	19,656	11.0%
	y-y (%)	-5%	8%	10%	15%	
Fire-fighting machinery / aerial working machinery		7,183	5,979	5,234	5,243	-10.0%
	y-y (%)	-17%	-17%	-12%	0%	
Mining machinery		9,377	13,553	17,711	22,428	33.7%
	y-y (%)	47%	45%	31%	27%	
Road machinery		4,210	4,499	4,874	5,365	8.4%
	y-y (%)	4%	7%	8%	10%	
Foundation machinery		4,706	4,602	4,886	5,417	4.8%
	y-y (%)	-6%	-2%	6%	11%	
Gross profit		22,794	27,359	32,339	37,193	17.7%
	y-y (%)	10%	20%	18%	15%	
Gross margin (%)		22.6%	23.6%	24.6%	25.2%	
Operating expenses						
Selling expenses		5,779	6,518	7,278	7,942	
	as % of revenue	5.7%	5.6%	5.5%	5.4%	
G&A expenses		3,086	3,485	3,896	4,370	
	as % of revenue	3.1%	3.0%	3.0%	3.0%	
R&D expenses		4,242	4,869	5,667	6,504	
	as % of revenue	4.2%	4.2%	4.3%	4.4%	
Operating profit		7,319	9,622	12,409	15,236	27.7%
	y-y (%)	10%	31%	29%	23%	
Net profit		6,572	8,849	11,401	13,998	28.7%
	y-y (%)	9%	35%	29%	23%	

Note: *2025 data for concrete machinery and construction machinery spare parts and other businesses are Nomura estimates.

Source: Wind; XCMG 2025 annual report; Nomura estimates

Our 2026-28F revenue and net profit forecasts are slightly above Wind consensus. Our revenue forecasts are 0.7%/0.8%/0.7% above consensus, while our net profit forecasts are 5.5%/8.0%/9.6% higher. The difference mainly reflects: 1) on revenue, we are relatively optimistic on the recovery cycle of the construction machinery industry over 2026-28F, as well as XCMG's market share gains across product categories; and 2) on profit, we expect the company's gross margin to improve, supported by scale benefits, globalization, and product mix optimization. In addition, XCMG continues to strengthen internal management, with increasingly visible expense control capabilities.

Fig. 21: XCMG — Nomura estimates vs. Wind consensus

CNYmn	Nomura estimates			Wind consensus			Diff. (%)		
	2026F	2027F	2028F	2026E	2027E	2028E	2026F	2027F	2028F
Revenue	115,734	131,569	147,567	114,961	130,496	146,572	0.7	0.8	0.7
Net profit	8,849	11,401	13,998	8,390	10,558	12,770	5.5	8.0	9.6

Source: Wind, Nomura estimates

Valuation methodology and risks

Initiate at Buy with a target price of CNY13.60

Given XCMG's steady profitability improvement in recent years, we use a P/E valuation methodology. We select leading construction machinery OEMs Sany Heavy Industry (600031 CH, Buy), Zoomlion (000157 CH, Not Rated), LiuGong (000528 CH, Not Rated), and Shantui Construction Machinery (000680 CH, Not Rated), as well as construction machinery component manufacturer Hengli Hydraulic (601100 CH, Buy), as comparable companies.

We value XCMG at 18x 2026F P/E, broadly in line with the peer average. Although we forecast XCMG's 2026-28F EPS CAGR to outpace the peer average, reflecting its stronger earnings growth potential amid the current industry upcycle, we believe a peer-average target multiple is more appropriate at this stage. This approach accounts for legacy risk exposures, specifically contingent liabilities from customer mortgage guarantees and finance-lease repurchase obligations, which remain in the process of being cleared.

Applying a target P/E of 18x to our 2026F EPS forecast of CNY0.76, we derive a target price of CNY13.60, implying 39.5% upside. We initiate coverage with a Buy rating.

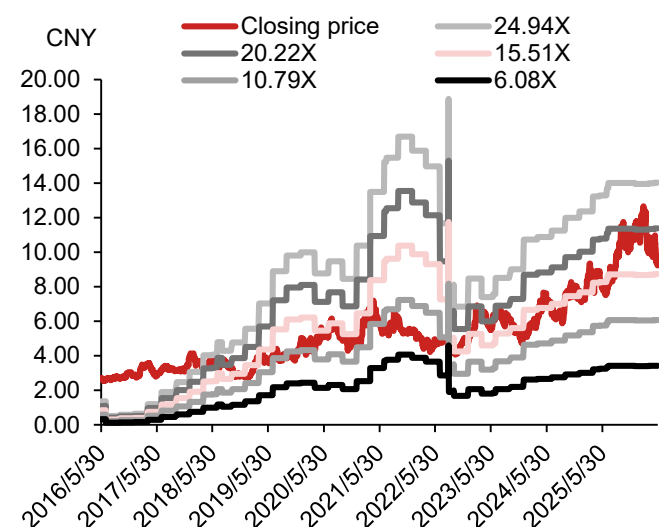
Fig. 22: XCMG — Valuation comparables

Ticker	Company name	CP (LC)	Mkt cap (CNYbn)	TP (LC)	Rating	EPS (CNY)			2026-2028F CAGR	P/E (x)			ROE (%)		
						2026F	2027F	2028F		2026F	2027F	2028F	2026F	2027F	2028F
600031 CH	Sany Heavy Industry	17.90	164.59	28.93	Buy	1.21	1.48	1.71	20%	14.8	12.1	10.5	12.2	14.4	16.1
601100 CH	Hengli Hydraulic	112.09	150.29	131.12	Buy	2.68	3.35	3.93	24%	41.9	33.5	28.6	18.5	20.4	21.0
000528 CH	LiuGong	8.93	18.19	-	Not Rated	0.98	1.22	1.44	22%	9.1	7.3	6.2	9.9	11.4	12.1
000157 CH	Zoomlion	7.21	62.36	-	Not Rated	0.69	0.83	0.99	21%	10.5	8.7	7.3	9.9	11.3	12.7
000680 CH	Shantui	10.84	16.26	-	Not Rated	0.99	1.19	1.41	20%	11.0	9.1	7.7	20.2	20.2	20.0
Average									21%	10.2	8.0	6.7	9.9	11.4	12.4
000425 CH	XCMG	9.75	114.18	13.60	Buy	0.76	0.97	1.20	29%	12.9	10.0	8.2	13.4	15.5	17.0

Note: Priced at close of 29 May 2026; Nomura estimates for rated stocks and Wind consensus estimates for not rated stocks.

Source: Wind, Nomura estimates

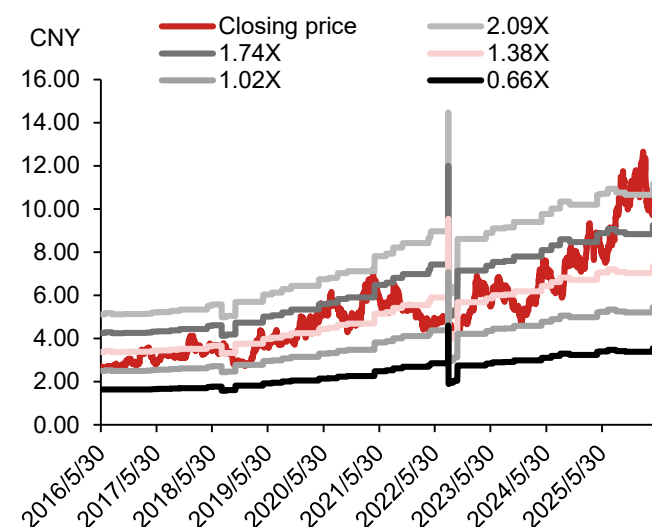
Fig. 23: XCMG – P/E band



Note: Priced as of 29 May 2026.

Source: Wind, Nomura

Fig. 24: XCMG – P/B band



Note: Priced as of 29 May 2026.

Source: Wind, Nomura

Key downside risks

- 1) **Changes in the global and regional competitive landscape:** XCMG competes with both well-known multinational companies and domestic construction machinery manufacturers. The factors affecting industry competition are complex, while the construction machinery industry also faces changing market trends. The company therefore faces the risk of being unable to respond successfully to changes in the global and regional competitive landscape.
- 2) **Weaker-than-expected R&D capabilities:** If XCMG is unable to continue developing products that meet changing customer needs and mainstream industry trends, its product competitiveness could be constrained, which may adversely affect business development, profitability, and long-term growth prospects.
- 3) **Slower-than-expected expansion of the mining machinery business:** Demand for mining machinery is highly dependent on the capex plans of large overseas mining companies. A pullback in commodity prices, renewed inflationary pressure or tighter monetary policy in major economies could prompt mining companies to delay or scale back equipment replacement and expansion capex. This could slow the order conversion of XCMG's core mining products, such as mining trucks and large mining excavators, and put pressure on revenue growth.
- 4) **Lower-than-expected downstream demand in China and overseas markets:** If macroeconomic recovery falls short of expectations, downstream customer investment growth may continue to slow, which could weigh on sales of XCMG's products.
- 5) **Complex global operating environment and geopolitical risks:** International business is affected by political, cultural, human resource, and other factors. Overseas business expansion therefore involves a certain degree of uncertainty and risk.
- 6) **Raw material price volatility:** The cost of XCMG's raw materials and components may be affected by multiple factors, including market supply and demand, changes in suppliers, the availability of substitute materials, changes in supplier production conditions, and natural disasters.
- 7) **FX volatility:** As XCMG's overseas revenue contribution continues to increase, the company has a certain amount of business denominated in foreign currencies including the US dollar, euro, and Japanese yen. Significant FX fluctuations may affect the company's earnings.

Appendix A-1

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Analyst Certification

We, Fan Zhang, Jingshu Fang, Yueting Tu, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

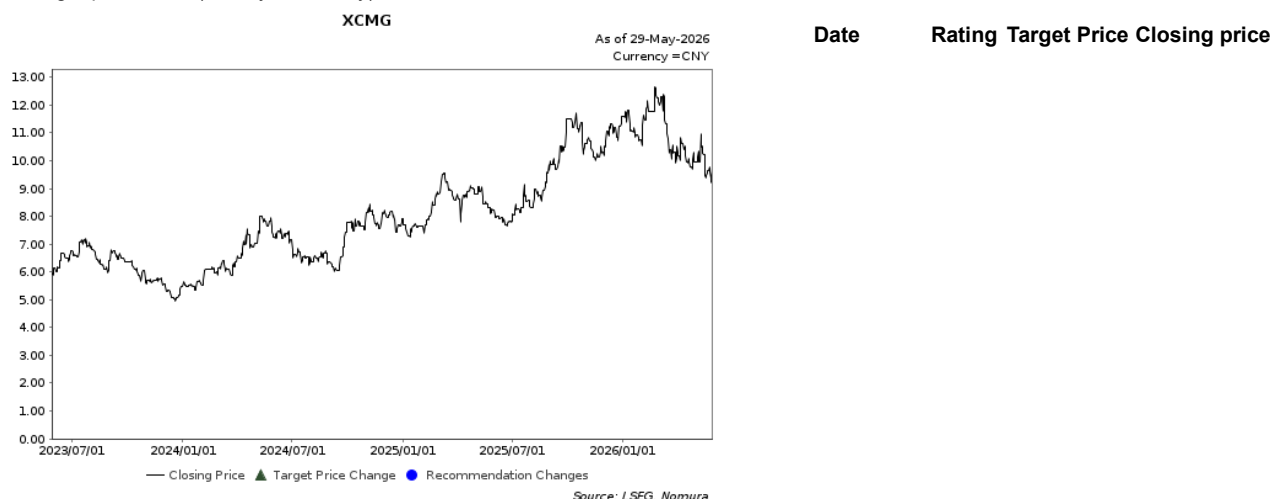
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
XCMG	000425 CH	CNY 9.75	29-May-2026	Buy	N/A	

XCMG (000425 CH)

CNY 9.75 (29-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Based on an 18x target P/E, broadly in line with the average of comparable companies, and our 2026F EPS of CNY0.76, we derive a target price of CNY13.60. The stock's benchmark index is the CSI 300 Index.

Risks that may impede the achievement of the target price Key downside risks include changes in the global and regional competitive landscape, weaker-than-expected R&D capabilities, slower-than-expected mining machinery business expansion, lower-than-expected downstream demand in China and overseas markets, a complex global operating environment and geopolitical risks, raw material price volatility, and FX volatility.

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*The Benchmark for A-shares is CSI 300, the Benchmark for Hong Kong-listed stocks is Hang Seng Index and the Benchmark for US-listed stocks is Nasdaq Composite or S&P 500.

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